NATIONAL UNIVERSITY OF MODERN LANGUAGE ISLAMABAD

Assignment:- 02

Submitted to:

Adnan Iftikhar

Submitted by:

Zulqarnain Hassan

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Question 1: Purpose of the Model for New Ventures

The overall purpose of Michael Porter's Five Forces is to provide a "structural map" of an industry. Instead of just looking at direct competitors, it identifies five distinct forces that determine how much profit a company can realistically make.

How it helps new ventures:

- **Feasibility Testing:** It helps entrepreneurs decide if a market is worth entering. If all five forces are strong (high competition, powerful buyers, easy substitutes), a new venture may decide the industry is too "unattractive" for a startup with limited capital.
- **Identifying "Blue Oceans":** By seeing where a force is weak (e.g., low bargaining power of suppliers), a new venture can position itself to take advantage of that gap.
- **Strategic Defense:** It allows ventures to build "moats." For example, if they know the *threat of substitutes* is high, they might focus on building a unique brand or proprietary tech to make switching harder for customers.

Question 2: Analysis of New Entrants and Buyer Power in Software

Using the provided text, we can see how these two forces specifically shape the software landscape:

A. Threat of New Entrants (Low Barriers)

In the software world, the threat of new entrants is **high** because the traditional "walls" (factories, heavy machinery) don't exist.

- **Cloud Computing & Open Source:** Tools like AWS or GitHub allow a small team to build an app with almost zero initial capital.
- **Example from Text:** A small startup can create a productivity tool that competes directly with giants like **Notion** or **Asana** simply by having better code or a cleaner user interface.

B. Bargaining Power of Buyers (High Influence)

In software, the buyer is often in the "driver's seat."

- **Low Switching Costs:** It is incredibly easy for a user to stop using one app and start another.
- **Price Sensitivity:** Because there are so many free or "freemium" options, buyers can demand lower prices or more features.
- **Example from Text:** Users can move seamlessly between **Slack, Microsoft Teams, and Zoom**. If Slack raises prices too much, the buyer simply migrates their team to Teams, forcing Slack to innovate or lower costs to stay relevant.

Question 3: Supplier Power and Substitutes in Tech

Strategic choices for new tech ventures are heavily dictated by who they rely on and what could replace them.

A. Bargaining Power of Suppliers

- **Infrastructure Dependence:** Most software ventures rely on **Cloud Platforms** (AWS, Google Cloud, Azure). These suppliers have high power because moving an entire database from one to another is a technical nightmare.
- **Specialized Talent:** The "suppliers" of labor (Developers) have high power. If there is a shortage of AI developers, a startup may have to pivot its strategy or offer equity to attract the talent needed to build its product.
- **APIs:** If a venture is built entirely on the **Twitter or OpenAI API**, that supplier can change their pricing or terms overnight, potentially killing the startup's business model.

B. Threat of Substitutes

- **Cross-Category Competition:** A substitute isn't always a direct rival. For a software-based video editor, the substitute might not be another software, but a **mobile app** (like CapCut) or even an **AI tool** that automates the whole process.
- **Strategic Choice:** To combat this, new ventures often choose a **Niche Strategy**—focusing on a very specific group of users (e.g., software specifically for dentists) so that general substitutes don't meet their needs.

Question 4: Comparison Using Pakistani Industry Examples

Applying the model to the local market helps us see competitive dynamics in a real-world, developing economy context.

Force	Pakistani Industry Example	Competitive Dynamic Explained
Rivalry	**Telecom** (Jazz, Zong, Telenor)	**Intense Rivalry:** The market is saturated. Companies engage in "price wars" (cheaper call packages/data) because the products are very similar.

Force	**Pakistani Industry Example**	**Competitive Dynamic Explained**
Buyer Power	**Ride-Hailing** (Bykea, InDrive)	**High Buyer Power:** Customers in Pakistan often have multiple apps on their phones. They check which one is cheaper for a specific trip and switch instantly.
New Entrants	**Solar Energy**	**High Threat:** As electricity prices rise, hundreds of small solar installation companies have entered the market. The barrier to entry is relatively low (importing panels and hiring technicians).
Supplier Power	**Smartphones**	**High Supplier Power:** Local retailers rely on global giants (Samsung, Xiaomi, Apple). If the government restricts imports or a supplier raises prices, local businesses have very little choice but to comply.

Conclusion: These examples show that competition in Pakistan is often driven by price sensitivity (Buyer Power) and macro-economic factors (Supplier Power/Import issues). Understanding these helps a Pakistani entrepreneur choose an industry where they can actually protect their profit.